

ECO102: Introduction to Macroeconomics

Lecture 9: The Loanable Funds Market *(Chapter 24: Finance, Saving, and Investment)*

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Chapter 24: Finance, Saving, and Investment, pp 565 – 574

Key Definitions

- ***Physical capital*** are the tools, instruments, machines, buildings, and other items that have been produced in the past and that are used today to produce goods and services
- The funds that firms use to buy physical capital are called ***financial capital***
- ***Investment*** increases the quantity of capital and ***depreciation*** decreases it
- The total amount spent on new capital is called ***gross investment***
- **Net investment equals Gross Investment minus Depreciation**
- ***Wealth*** is the value of all the things that people own
- ***Income*** is the amount a person receives during a given time period from supplying the services of the resources they own
- ***Saving*** is the amount of income that is not paid in taxes or spent on consumption goods and services, and it increases wealth

Financial Capital Markets

- Saving is the source of the funds that are used to finance investment, and these funds are supplied and demanded in three types of financial markets:
- **Loan Markets:** Used as a method of short-term financing to buy inventories (business), or to purchase big ticket items (households). Banks are one of the primary agents in the loan market

What is a mortgage?

- **Bond Markets:** A bond is a promise to make specified payments on specified dates.

Bonds issued by firms and governments are traded in the bond market. The term of a bond might be long (decades) or short (just a month or two). Bangladesh Bank issues Treasury Bonds and Bills

Another type of bond is a ***mortgage-backed security***, which entitles its holder to the income from a package of mortgages

- **Stock Markets:** A stock is a certificate of ownership and claim to the firm's profits

Unlike a stockholder, a bondholder does not own part of the firm that issued the bond. A stock market is a financial market in which shares of stocks of corporations are traded

Interest Rates and Asset Prices

- Stocks, bonds, short-term securities, and loans are collectively called ***financial assets***
- The interest rate (the rate of return) on a financial asset is the interest received expressed as a percentage of the price of the asset

Let's consider a bond that promises to pay its holder \$5 a year forever. What is the rate of return, the interest rate, on this bond?

If you buy this bond for \$50, the interest rate would be:

$$\text{Interest rate} = (\$5 / \$50) \times 100 = 10\%$$

Or 10% per year

Think about what happens if you buy this bond for \$200?

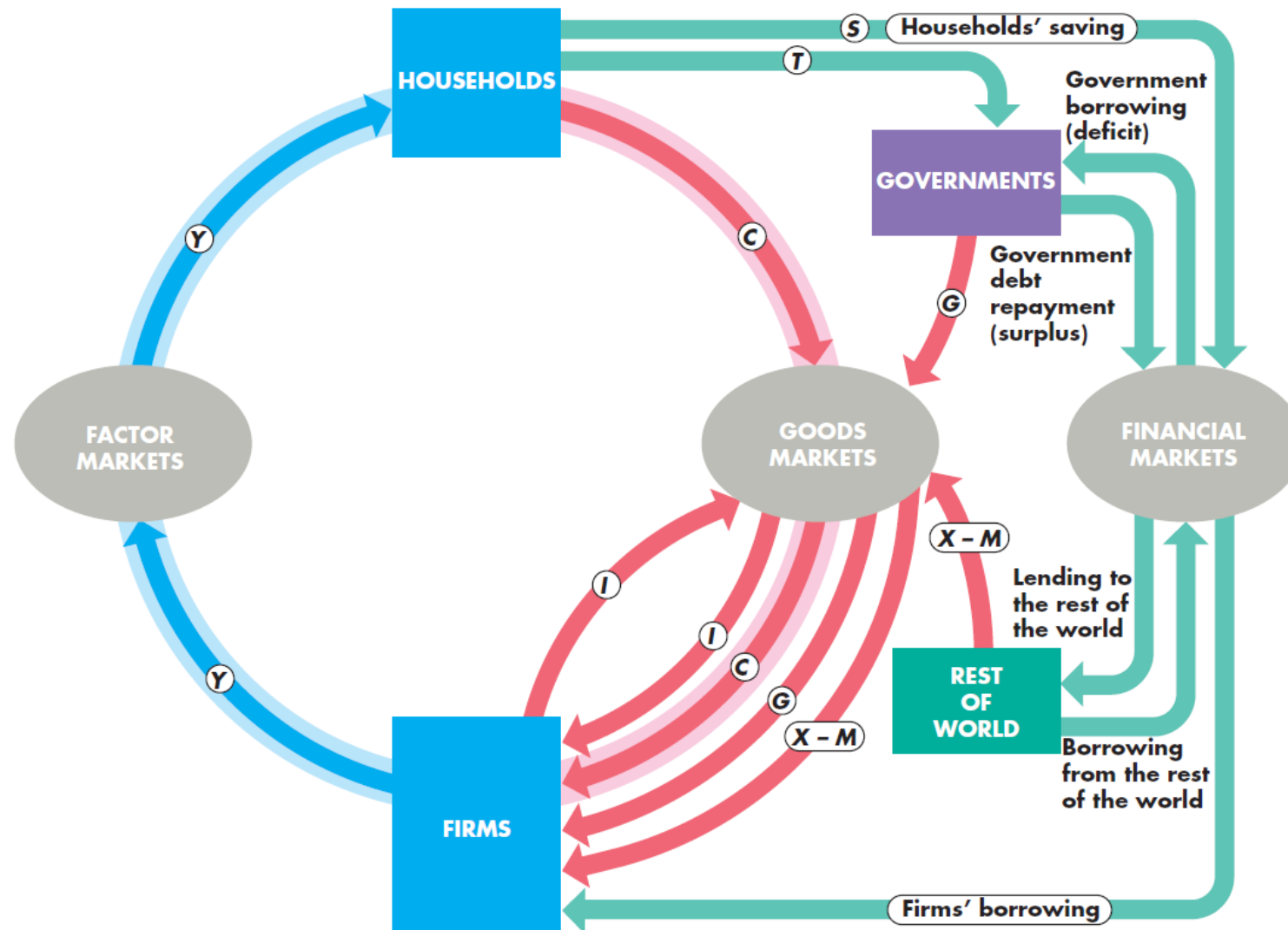
The Loanable Funds Market

- ***The loanable funds market*** is the aggregate of all the individual financial markets
- The flow of funds that finance investment come from three sources:
 - Household Saving
 - Government Budget Surplus
 - Borrowing from the rest of the world
- Households' income, Y , is spent on consumption goods and services (C), saved (S), or paid in net taxes (T)
- Net taxes are the taxes paid to governments minus the cash transfers received from governments
- Comparing with the equation for National Income Accounts we get:

$$I = S + T - G + (M - X)$$

- What do each of these components mean?

The Loanable Funds Market



The Loanable Funds Market: The Real Interest Rate

- The ***nominal interest rate*** is the number of dollars that a borrower pays and a lender receives in interest in a year expressed as a percentage of the number of dollars borrowed and lent
- The ***real interest rate*** is the nominal interest rate adjusted to remove the effects of inflation on the buying power of money
- The real interest rate is approximately equal to the nominal interest rate minus the inflation rate
- The real interest rate is the opportunity cost of loanable funds
- And the real interest rate forgone when funds are used either to buy consumption goods and services or to invest in new capital goods is the opportunity cost of not saving or not lending those funds

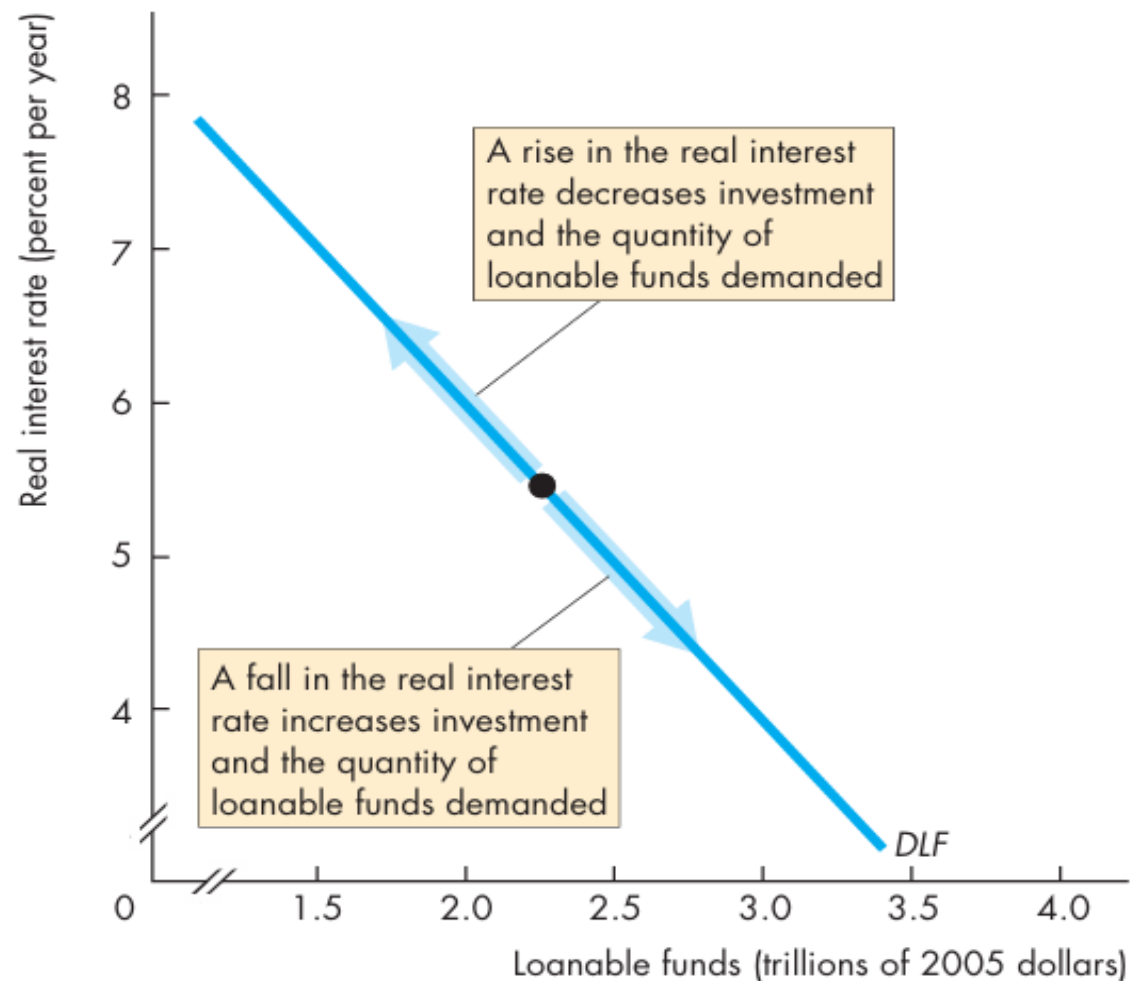
The Demand for Loanable Funds

- The ***quantity of loanable funds demanded*** is the total quantity of funds demanded to finance investment, the government budget deficit, and international investment or lending during a given period
- The ***demand for loanable funds*** is the relationship between the quantity of loanable funds demanded and the real interest rate, when all other influences on borrowing plans remain the same
- The quantity of loanable funds demanded is ***greater***, the ***lower*** is the real interest rate
- Two key factors influence the demand for loanable funds:
 - **The real interest rate**
 - **Expected Profit**

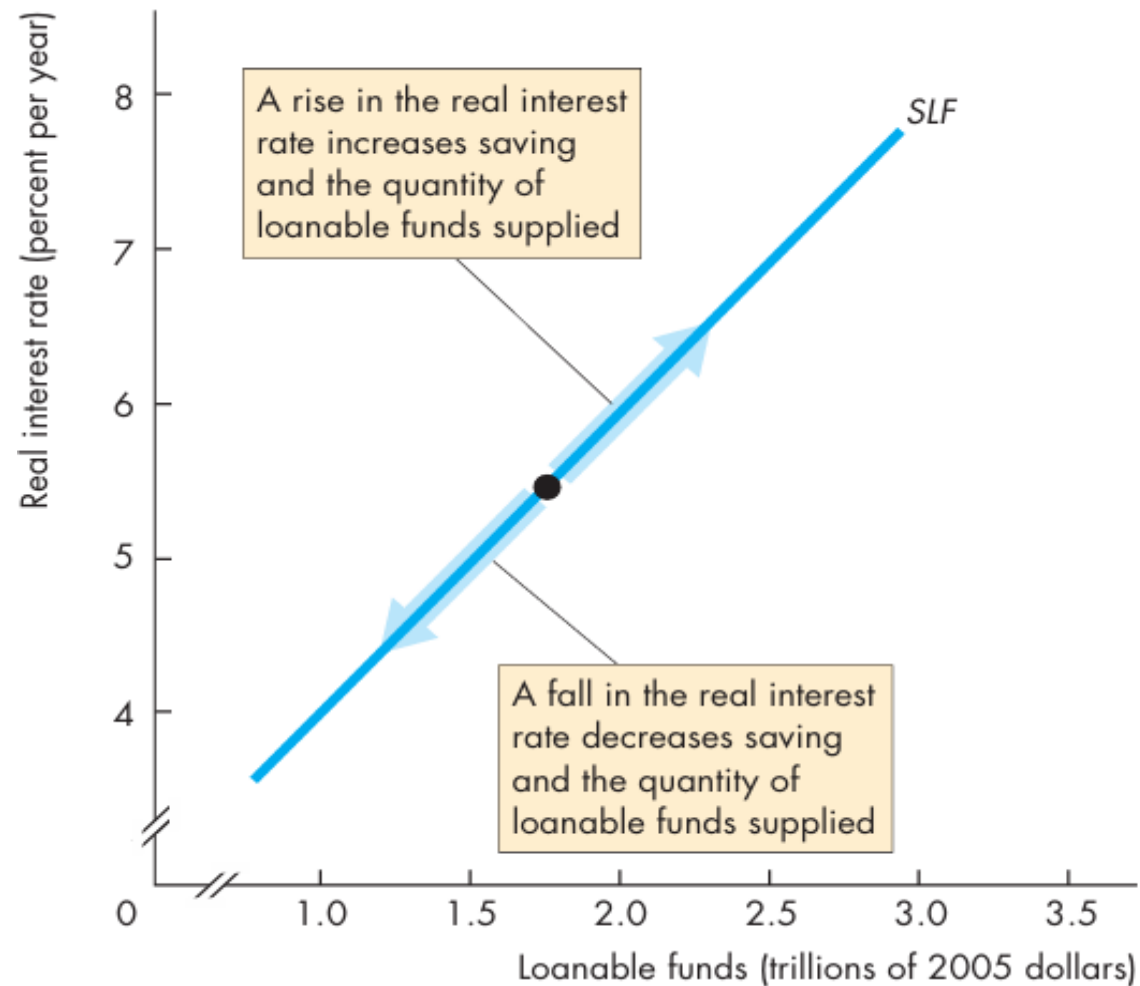
The Supply for Loanable Funds

- The ***quantity of loanable funds supplied*** is the total funds available from private saving, the government budget surplus, and international borrowing during a given period
- The ***supply of loanable funds*** is the relationship between the quantity of loanable funds supplied and the real interest rate when all other influences on lending plans remain the same
- The quantity of loanable funds supplied is greater, the greater is the real interest rate
- Key factors that influence the supply for loanable funds are:
 - **The real interest rate**
 - **Expected Future Income**
 - **Disposable Income**
 - **Wealth**
 - **Default Risk**

The Supply and Demand of Loanable Funds



Demand for Loanable Funds



Supply of Loanable Funds